IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.06/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF
MEADOWS CONSULTNG SERVICES PRIVATE LIMITED
AND
PRAZIM TRADING AND INVESTMENT COMPANY PRIVATE LIMITED
Order delivered on: 5th March, 2018

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

MEADOWS CONSULTING SERVICES PRIVATE LIMITED
"Premji Invest", No.574,
Next to WIPRO Corporate Office,
Doddakanneli, Sarjapur Road,
Bangalore-560035

PRAZIM TRADING AND INVESTMENT COMPANY PRIVATE LIMITED
Doddakannelli, Sarjapur Road,
Bangalore-560035.

For the Petitioner (s) Mr.Saji.P.John
Advocate
Unit No.1002, 10th Floor,
#30, Prestige Meridian II,
Bengaluru-560001

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 15.2.2018, 27.2.2018

ORDER

This is a Joint Application filed by the applicant companies namely Meadows Consulting Services Private Limited (Applicant Company No.1/ Transferor Company) and Prazim Trading and Investment Company Private Limited (Applicant Company No.2/ Transferee Company) under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to dispense with convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies No.1 & Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies No.2 for considering the scheme of Amalgamation, where under Meadows Consulting Services

Private Limited (Applicant Company No.1/ Transferor Company) is proposed to be merged with Prazim Trading and Investment Company Private Limited (Applicant Company No.2/ Transferee Company). The Scheme of Amalgamation is shown as **Annexure-G**.

The averments made in the Company Application are briefly described hereunder:-

The Applicants seek an order to dispense with convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.1 & Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.2 for considering the scheme of Amalgamation, where under Meadows Consulting Services Private Limited (Applicant Company No.1/ Transferor Company) is proposed to be merged with Prazim Trading and Investment Company Private Limited (Applicant Company No.2/ Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-G**.

This Application is filed on behalf of the applicant companies stating that the Applicant Company No.1/ Transferor Company was incorporated on 16th January, 2015 under the name and style of Meadows Consulting Services Private Limited with Registrar of Companies, Gujarat. Subsequently on 23rd January, 2017 the registered office of the Applicant No.1/Transferor Company was shifted from the State of Gujarat to the State of Karnataka having CIN No.U74140KA2015PTC100324. The Registered office of the Transferor Company is situated at "Premji Invest", No.574, Next to WIPRO Corporate office, Doddakanneli, Sarjapur Road, Bengaluru-560035.

The main objects of the Applicant Company No.1/Transferor Company is to carry on the business of management consultants, advisors, experts, arbitrators, conciliators, liquidators and solicitors, in India or abroad, for all type of industries, government undertakings/ authorities, public private partnership projects, companies, firms, individuals, person engaged in franchise business, bodies corporate, traditional handicraft artisans, craftsmen engaged in handloom and textile sector, other companies engaged in the business of e-commerce/market place and in all such as legal, commercial, industrial, manufacturing, production, quality control and efficiency experts, engineering marketing, advertising, publicity, promotion, public welfare, community development, computer applications, cluster development, technical know-how, underwriting, secretarial services, financial management, staff and management recruitment, training and placements, technical analysis of data, electronic data processing, and other economic, mathematical, statistical, scientific and other

staff and management recruitment, training and placements, technical analysis of data, electronic data processing, and other economic, mathematical, statistical, scientific and other modern management services. The copy of Memorandum and Articles of Association of the Applicant Company no.1/Transferor Company is shown as **Annexure-A**.

The latest authorised share capital of the Applicant Company No.1/Transferor Company is Rs.900,00,000/- divided into 9,000,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferor Company is Rs.801,00,000/- divided into 8,010,000 Equity Shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-B**.

As per the audited balance sheet made up to 31st March, 2017, the summarized position of the assets and liabilities of the Applicant Company No.1/Transferor Company:

Liabilities	**Amount**	**Assets**	**Amount**
Share Capital	8,01,00,000	Non-Current assets	6,82,61,345
Reserves & Surplus	3,35,358	Current Assets	1,23,62,686
Non-Current Liabilities & Provisions	Nil		
Current Liabilities & Provisions	1,88,673		
Total	**80,624,031**	**Total**	**80,624,031**

It is further stated that Applicant Company No.2/ Transferee Company was incorporated on 13th November, 1981 under the name and style of Prazim Trading and Investment Company Private Limited with Registrar of Companies, Maharashtra. Subsequently on 27th May, 1997 the registered office of the Petitioner Company has shifted from the State of Maharashtra to the State of Karnataka vide CIN No.U65993KA1981PTC024196. The Registered office of the Transferee Company is situated at Doddakanneli, Sarjapur Road, Bengaluru-560035.

The main objects of the Transferee Company is to carry on the business as general merchants and traders in good and commodities, on ready or forward basis, commission agents, buying and selling agents, buying and selling agents, brokers, importers, exporters

and to act as manufactures representatives. The copy of Memorandum and Articles of Association of the Transferee Company is shown as **Annexure-C**.

The latest authorised capital of the Transferee Company is Rs.5,50,00,000/- divided into 3,02,000 equity shares of Rs.100/- each, 4,000, 10% Redeemable Preference Shares of Rs.100/-, 44,000 18% Redeemable Cumulative Preference Shares of Rs.100/-, 1,00,000-0.1% Convertible Cumulative Preference Shares of Rs.100/- each, 1,00,000-8% Redeemable Cumulative Preference Shares of Rs.100/- each. The issued, subscribed and paid-up capital is Rs.18,39,200/- divided into 9,401 equity shares of Rs.100/- each, 4,430-0.1% Convertible Cumulative Preference Shares of Rs.100/- each, 4,561-8% Redeemable Cumulative Preference Shares of Rs.100/- each. The Audited balance sheet as on 31st December, 2017 is shown as **Annexure-D1.**

It is further stated that, the Board of Directors of the Transferor Company and Transferee Company have approved and adopted a Scheme of Amalgamation at their meetings held on 8th January, 2018 and 10th January, 2018 respectively by virtue of which Meadows Consulting Services Private Limited (Applicant Company No.1/ Transferor Company) is proposed to be merged with Prazim Trading Investment Company Private Limited (Applicant Company No.2/ Transferee Company) subject to confirmation. Copies of the Board Resolution of Transferor and Transferee Company dated 8th January, 2018 and 10th January, 2018 respectively approving and adopting the Scheme of Amalgamation are shown as **Annexure-E & F respectively**.

It is further averred in the scheme that the Board of Directors of the Transferor Company and Transferee Company are of the opinion that the amalgamation would result in following benefits:

1. There will be operational synergy in terms of common license, reduction of administration work and cost etc., for the amalgamated company.

2. The financial resources, managerial and technical expertise of the companies could be better utilized by the amalgamated company which would be beneficial to the amalgamated company.

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.1/ Transferor Company has certified that there are two equity shareholders as on 31st December, 2017 of the Applicant Company No.1/ Transferor Company is shown as **Annexure-H.**

It is further stated that there are no Secured Creditors in the Applicant Company No.1/ Transferor Company as certified by the Chartered Accountant shown as **Annexure-N.**

It is further stated that there are no Unsecured Creditors in the Applicant Company No.1/ Transferor Company as certified by the Chartered Accountant shown as **Annexure-N.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/ Transferee Company has certified that there are two equity shareholders as on 31st December, 2017 of the Applicant Company No.2/ Transferee Company is shown as **Annexure-J.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/ Transferee Company has certified that there are two preference shareholders as on 31st December, 2017 of the Applicant Company No.2/ Transferee Company is shown as **Annexure-K.**

It is further stated that there are no Secured Creditors in the Applicant Company No.1/ Transferor Company as certified by the Chartered Accountant shown as **Annexure-M.**

It is further stated that there are no Unsecured Creditors in the Applicant Company No.1/ Transferor Company as certified by the Chartered Accountant shown as **Annexure-P.**

We have seen the consent affidavits of the Two Equity shareholders of Applicant No.1/Transferor Company filed by way of memo dated 1st March, 2018 i.e., (i) Hasham Investment and Trading Company Private Limited holding 80,09,999 equity shares, constituting 99.99% of the paid-up capital,(ii) Tarish Investment and Trading Company Private Limited holding 1 equity share, constituting 0.01% of the paid-up capital.

We have seen the consent affidavits of the Two Equity shareholders of Applicant No.2/Transferee Company by way of memo dated 1st March, 2018 i.e., (i) Hasham Investment and Trading Company Private Limited holding 9,400 equity shares, constituting 99.99% of the paid-up capital.

We have seen the consent affidavits of the Two Preference shareholders of Applicant No.2/Transferee Company by way of memo dated 1st March, 2018 i.e., (i) Hasham Investment and Trading Company Private Limited holding 4,430 0.1% Convertible Cumulative Preference Shares constituting 49.27% of the paid-up capital,(ii) Hasham

Investment and Trading Company Private Limited holding 4,561 8% Redeemable Cumulative Preference Shares, constituting 50.72% of the paid-up capital.

The Applicant Companies are seeking an order to dispense with convening of meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.1 on the ground that, there are Two Equity shareholders, No Secured Creditor and No Unsecured Creditors in Applicant Company No.1 and Two Equity Shareholders, Two Preference Shareholders, No Secured Creditor and No Unsecured Creditors in Applicant Company No.2 and all the Equity shareholders of the Applicant Company No.1 and more than 90% the Equity shareholders and all the Preference Shareholders of the Applicant Company No.2 have given their consent by way of affidavits for the proposed scheme of amalgamation.

We have heard the Counsel appearing for the Applicant Companies. The Application is filed by the Applicant Companies which is a Transferee Company and Transferor Company for dispensing with the convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies No.1 & Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies No.2 for considering the scheme of Amalgamation, where under Meadows Consulting Services Private Limited (Applicant Company No.1/ Transferor Company) for approving the scheme of Amalgamation where under the Meadows Consulting Services Private Limited (Applicant Company No.1/ Transferor Company) is proposed to be merged with Prazim Trading and Investment Company Private Limited (Applicant Company No.2/ Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-G**.

In the result, the application is allowed and holding of meeting of the Equity Shareholders of Applicant Company No.1 and Equity Shareholders and Preference Shareholders of Applicant Company No.2 is dispensed with. The Applicants will have to ensure that object clause of both companies are in conformity with each other. In any eventuality when the Applicant Companies approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

5/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

5/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL